Saudi Vision 2030 — Executive Summary

Half Done, Half Deferred

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The bottom line. Vision 2030 is half done and half deferred. The four areas where Saudi Arabia has genuinely changed — female labour-force participation, social opening, financial-sector modernisation, the tourism / pilgrimage hub — are real reforms, validated by primary-source data. The four areas where Vision 2030 substantively misses — NEOM and the Giga-projects, the non-oil exports target, the SME share of GDP target, the private-sector contribution to GDP — are either substantively descoped or so far behind that delivery by 2030 requires improbable acceleration. The 2030 KPI completion rate will land in a 60% to 80% range, with Brent oil price the single largest determinant. A "soft landing" mechanism is now visibly in place: GDP rebasing, KPI architecture reorganisation, target revisions, NEOM descope. Vision 2030 will not fail, but the actual end-state will look quite different from the 2016 announcement.

Why this matters for investors and operators. The Saudi market is open and growing, but the underlying story has moved past the "comprehensive build-out" framing of 2016-2022. Capital allocation decisions should now distinguish between (a) the four real-reform areas — where social, employment, and consumption tailwinds are durable — and (b) the four lagging areas — where the gap to 2030 is large enough that prudent base-case investors should price the outcome closer to a Vision 2040-style continuation. PIF's domestic-funding pivot (international share dropped from 30% baseline to 17% actual) constrains the offshore allocation story; sovereign and corporate credit remain attractive on rating preservation; the Giga-project contractor concentration is the highest-beta exposure.

Three findings that frame the report

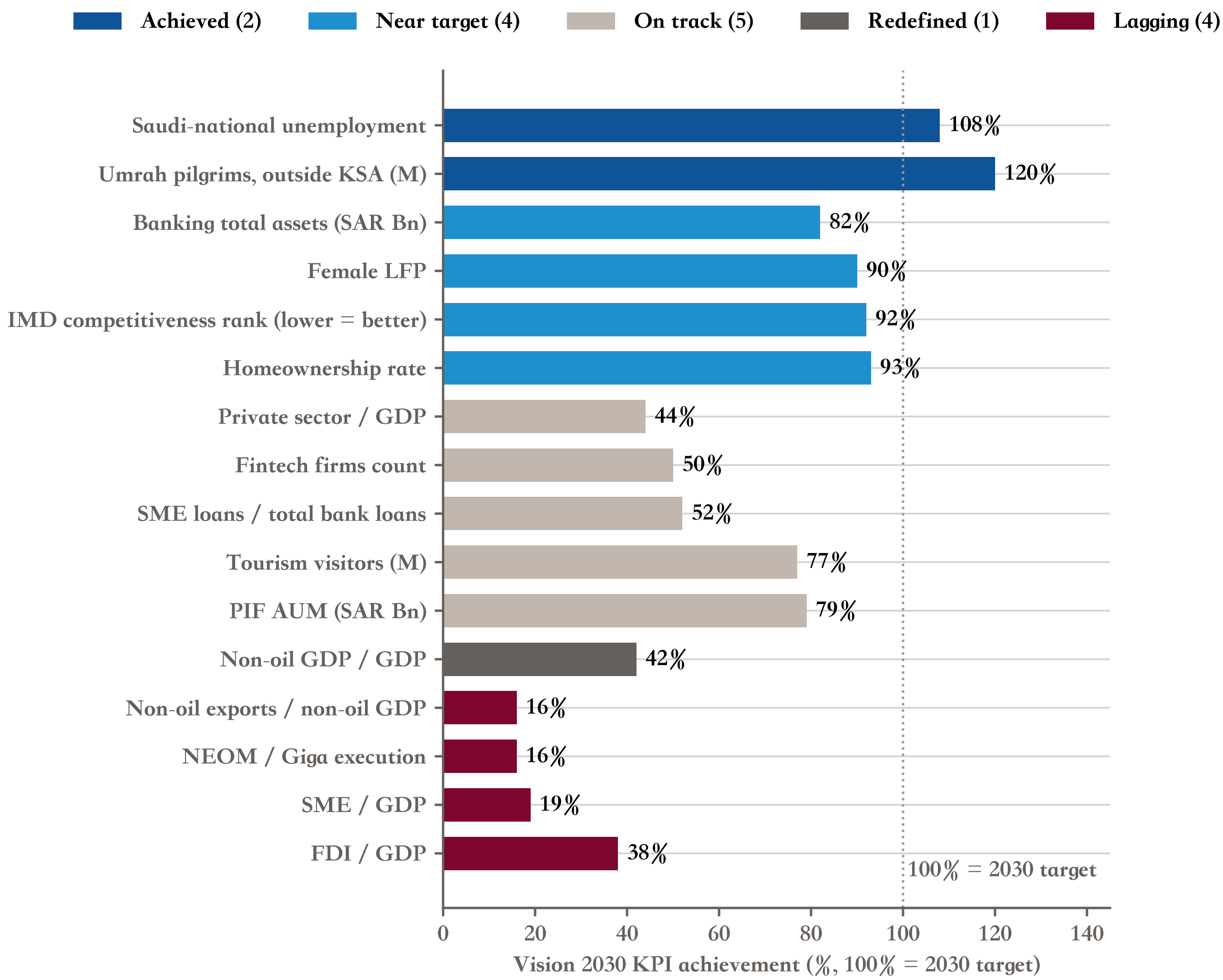
Finding 1: "93% KPIs met" is actually 79%. The Vision 2030 Annual Report 2025 (page 11) reports 93% of KPIs are "achieved or near annual target" — combining 309 indicators at ≥100% achievement with 52 indicators in the 85-99% "near" band, against a denominator of 390 measured indicators. Applying the strict ≥100% threshold alone, the achievement rate is 309 / 390 = 79.2%. The 14-percentage-point gap between the two readings is the single most important caliper any reader of Vision 2030 material needs to internalise. Carnegie's March 2025 assessment titled "Vision 2030 in the Home Stretch: Clear Achievements yet Limited Accountability" (Carnegie Endowment for International Peace 2025) captures the same asymmetry.

Finding 2: The "non-oil share of GDP" varies by 30.7 percentage points across five sources. SAMA's 2024 Financial Stability Report records 49.9% (old base, 2023 data, excluding government). The Vision 2030 office and media coverage cite approximately 55% as "more than half." The IMF's 2025 Article IV, after GASTAT's May 2025 rebasing, puts the share at 76% (including net taxes on products). GASTAT's own annual report shows oil at 19.4% of nominal GDP, back-calculating to a non-oil share of 80.6%. Every "non-oil share" figure has to be read with the caliper attached: which base year, nominal or constant prices, including or excluding government and net taxes on products.

Finding 3: Fiscal buffer ≠ FX reserves — they differ by a factor of four. The IMF Article IV 2025 reports Saudi Arabia's Net Foreign Assets at $415 billion at end-2024, covering 187% of the IMF reserve-adequacy metric and 15 months of imports. This is SAMA's full FX reserves and includes PIF offshore assets, money base, and other foreign-exchange assets. Separately, the Ministry of Finance's FY 2026 Budget Statement projects the government's deposit at SAMA — its fiscal buffer immediately deployable to cover deficits — at approximately SAR 390 billion = $104 billion at end-FY 2026. The two should never be substituted. Under a $50 oil scenario, conflating them leads readers to materially underestimate fiscal pressure.

Scorecard: 16 core KPIs

Figure 1: 16 core KPIs by status



Source: Vision 2030 Annual Report 2025; IMF Article IV 2025 (CR 25/223); IMF Working Paper 2026/14 (Koll, Medici, Tavares & Saito); GASTAT Annual National Accounts 2024; SAMA; GS Capex 2023; MEED 2025.

The 16 KPIs split into five status bands: **Achieved** (≥100%, n=2): Saudi-national unemployment (6.3% Q1 2025 vs original 7% target; new target 5%); Umrah pilgrims from outside the Kingdom (18M vs 15M interim target). **Near target** (85-99%, n=4): Female LFP (35.85% vs 40% revised target — original 30% target hit in 2021); homeownership rate (66.24% vs 70%); banking total assets (SAR 4,494B vs SAR 5,500B); IMD competitiveness rank (17th vs 15th). **On track** (30-85%, n=5): tourism visitors, PIF AUM, fintech firms count, private-sector contribution to GDP, SME loans share. **Redefined** (n=1): non-oil share of GDP (GASTAT rebasing). **Lagging** (<30%, n=4): non-oil exports / non-oil GDP (22.14% vs 50% target); SME / GDP (22.9% vs 35%); Giga-projects execution (~13% vs 80%); FDI / GDP (2.8% vs 5.7%).

The four "real reform" wins

Female labour-force participation has doubled. Saudi female LFP rose from 19.3% in 2016 to 35.85% in 2024 (IMF 2025). The IMF Working Paper of January 2026 (Koll et al. 2026) disaggregates Saudi-national employment growth 2018-2024: private-sector Saudi women +84%, private-sector Saudi men +21%, public-sector Saudi women +26%, public-sector Saudi men +12%. The private-sector female employment growth rate is among the highest documented in any transitioning economy. Drivers: 2018 driving legalisation, 2019 independent passports, the 2021 extension of Saudization quotas to women, new tourism / entertainment-sector jobs.

Social opening — tourism and pilgrimage at scale. Tourism visitors rose from 63.1M in 2016 to 115.9M in 2024, exceeding the 100M 2025 interim target (IMF 2025). Umrah pilgrims from outside the Kingdom rose from 6.2M to 18.03M, exceeding the 15M target (Saudi Vision 2030 2026). Volume growth (1.8x) outpaces revenue growth, indicating per-visitor spend has not yet shifted upward materially — the 2030 work is to lift premium tourism, entertainment, and luxury retail rather than visitor count.

Financial-sector modernisation. Banking total assets reached SAR 4,494B at end-2024, exceeding the 2025 interim target of SAR 3,515B (SAMA 2024a). Fintech firms hit 261 vs 230 interim target (SAMA 2024b). Banks' CAR is 20.1% (2023), in the global high range. The differentiated path: Saudi banks' Islamic-product assets account for over 75% of total assets (IMF 2024) — one of the highest globally. Saudi financial modernisation is "modernisation inside the Islamic framework," distinct from London / Singapore.

Tourism / pilgrimage hub. Layered on the social-opening point above: the regional logistics infrastructure (airports, hotels, retail, Hajj / Umrah capacity) is now physically built. Demand has the runway.

The four lagging areas

NEOM — material 80% descope, not officially confirmed but consistent across media sources. The Line's 2030 population target was originally 1.5M (2050: 9M). Through 2024-2026, Bloomberg's coverage moved through "scaled back" → "construction paused (September 2025)" → "Less NEOM, More AI" Wall Street pitch (October 2025) → Saudi Finance Minister publicly acknowledging that Vision 2030 projects can be cancelled (December 2025) → multi-source media reports in Q1 2026 (Euronews, Middle East Insider) putting the 2030 population target at <300K (~80% cut). The Saudi government has not officially confirmed the specific 80% figure, but the cumulative descope evidence is unambiguous. NEOM is not a failure — it is being absorbed as a "regional AI / data centre + energy-transition test bed" rather than the original linear-city ambition.

Non-oil exports — almost no movement against the 2030 target. Oil and oil products are still 77% of Saudi exports in 2024 (IMF 2025, 5). The Vision 2030 KPI "non-oil exports / non-oil GDP" moved from 16.9% baseline to 22.14% in 2025 — 27.86 percentage points short of the 50% target. The 2025 interim target was 38%; 22.14%

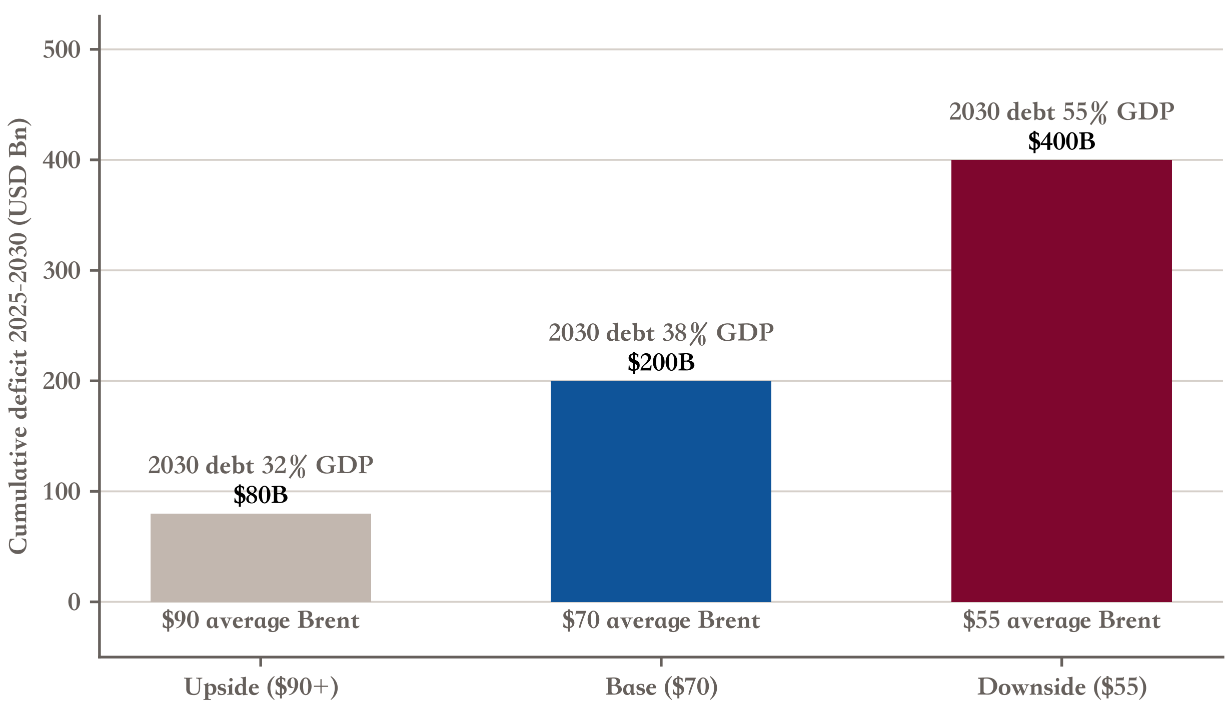
missed by a wide margin. Reason is physical: exports have to be either oil, petrochemicals, manufacturing, or services — Saudi cost-competitive advantages outside petrochemicals are limited.

SME share of GDP — 22.9% vs 35% target. Reaching 35% in five years would require SME GDP share to grow by 50% in real terms — historically rare. The supporting financing indicator is more encouraging: SME bank loans rose from 2.0% (2016) to 11.3% (2025), exceeding the 11% interim target (Saudi Vision 2030 2026), but still 8.7 ppts short of the 20% 2030 target.

Giga-projects execution. Goldman Sachs' 2023 baseline (page 7, Exhibit 8): 14 Giga-projects with $879B total project cost, executed $50B as of June 2023 — overall execution rate 6% (AlAzmeh et al. 2023). MEED 2025 tracking: cumulative awarded contracts $116.6B against total contract value $196B (MEED 2025). The two datasets use different calipers (executed vs awarded, project cost vs contract value) and should not be force-unified. Extrapolating to 2030, optimistic overall completion is approximately 30% — far below the "comprehensive build-out" framing. Red Sea Global is the most advanced project (~70% execution); NEOM is materially descoped.

Fiscal trajectory under three oil-price scenarios

Figure 2: Three oil-price scenarios: cumulative deficit 2025-2030



Source: IMF Article IV 2025 Annex VII Lower Oil Price Scenario; GS Saudi deficit warning April 2025; IMF medium-term consolidation path baseline.

Scenario	Brent average	2025-2030 cumulative deficit	2030 public debt / GDP	KPI completion (strict / inc. near)
Upside	$90+	$80B	32%	65% / 80%
Base	$70	$200B	38%	50% / 70%
Downside	$55	$400B	55%	40% / 60%

The three-scenario width is $320 billion in cumulative deficit (5x spread) and 23 percentage points in 2030 debt level. Oil price is the single largest variable determining Vision 2030 fiscal reachability. The downside scenario triggers sovereign credit-rating downgrade risk and material reserves drawdown; the upside leaves Vision 2030 broadly on its original narrative.

Investment view

For directional reference (not investment advice). **Beneficiaries**: Saudi banks (SNB, Riyad, Al Rajhi) for FSDP policy dividend + Saudization-driven credit demand; non-oil consumption / logistics / building-materials Tadawul leaders for domestic consumption + regional hub; Saudi sovereign debt (USD + sukuk) for rating preservation + spread attractiveness. **Neutral**: Saudi Aramco (oil-price driven, limited Vision 2030 leverage); PIF overseas portfolio (Lucid, Newcastle United, Magic Leap) faces reduced incremental allocation as domestic share rises from 70% to 80%+. **Adverse**: pure Giga-project-exposed contractors (NEOM descope = contract delays / repricing); Saudi-citizen wage-sensitive consumer goods (fiscal-tightening pressure slows public-sector wage growth).

About this report

The full report is 55 pages, with 41 figures, and covers six structural sections: real oil dependence (§1), government's role in non-oil growth (§2), fiscal sustainability boundary (§3), PIF and Giga-projects inflection (§4), social reform outrunning economic diversification (§5), and five-year reachability (§6). Methodology and multi-source caliper analysis are in Appendix A.

This report was produced end-to-end using the analyst-research Claude skill (MIT, v0.6.0) — a three-mode workflow for investment research, where the user picks scope at trigger time (light / medium / heavy). The Saudi Vision 2030 deep-dive used heavy mode. Verification methodology: every numerical claim in the report traces to a primary source listed in `references.bib`; verifying logs are in `7_draft/_process/`.

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